Session 18: Leases III: Case Study, Cathay Pacific and the Transition to IFRS16

By the end of this session you must be able to apply Sessions 16-17's IFRS16 framework to a real transition (quantify the effects of first-time adoption on the balance sheet, income statement, cash flow statement and key ratios), explain why residual value risk shifts from lessor to lessee under the new standard, and discuss the commercial responses available to a lease-intensive company facing the new rules.

Plan

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1. The Case Setup: An Airline's Balance Sheet Gains an Aircraft

- The case opens with a quote from Sir David Tweedie, former IASB chairman: "One of my great ambitions before I die is to fly in an aircraft that is on an airline's balance sheet". A pointed remark about how thoroughly IAS17's off-balance-sheet operating leases had let airlines keep enormous financing commitments invisible on the face of the statement of financial position.
- IFRS16 (issued 2016, effective 1 January 2019) was the fulfilment of that ambition: with the new standard, essentially all lease transactions are recognised as right-of-use (ROU) assets and lease liabilities by lessees.
- Cathay Pacific Airways Limited, the world's eighth-largest carrier at the time, is used as the case's running example because of the scale of its lease exposure and the clarity with which its 2019 Annual Report disclosed both the actual (post-IFRS16) and hypothetical (had IAS17 continued) figures side by side.

2. Why IAS17 Was Criticised, and the Case for IFRS16

IAS17's "risks and rewards" model: a lease was classified as a finance lease if substantially all the risks and rewards incidental to ownership lay with the lessee (accounted for "as if" purchased, with a matching lease liability). Otherwise it was an operating lease (no asset/liability recognised, only a periodic rental expense and note disclosures).

The case identifies two specific criticisms of this dual model:

- It made comparability across time periods and across firms harder (two economically similar leasing arrangements could be classified differently, and thus reported completely differently).
- The sharp bright-line distinction between finance and operating leases created opportunities for manipulative structuring. Leases could be deliberately structured to land on the operating side of the line and keep obligations off the balance sheet entirely.
- The IASB/FASB joint project (added to the agenda in 2006, discussion paper in 2009, exposure drafts in 2010 and 2013, final standard in January 2016) built its case for reform on a specific argument: separating interest expense (on the lease liability) from depreciation expense (on the ROU asset) would better reflect operating performance, and would create coherency between the P&L (interest and depreciation) and the balance sheet (lease liabilities and ROU assets). Coherency the case notes is particularly important for computing return on capital employed and leverage ratios.

3. The Airline Industry's Exposure to the New Standard

- The case frames the impact using a 2016 PwC study of over 3,000 listed entities, which measured impact by the median increase in debt and EBITDA by industry.
- Airlines ranked second-highest among eight industries studied, with a median 47% increase in debt and 33% increase in EBITDA (only retailers, at 98%/41%, were more affected).
- This is directly explained by the airline industry's operating model: airlines have for decades used off-balance-sheet operating leases to finance aircraft, aircraft equipment and airport facilities.

- According to a KPMG report cited in the case, airlines leased almost 50% of the global aviation fleet in 2019. For Hong Kong-listed airlines specifically, the average fleet split was 38% owned, 30% finance-leased, and 32% operating-leased. Meaning roughly a third of the fleet was, until IFRS16, invisible on the balance sheet.
- A 2017 Deloitte survey of airline respondents found most expected IFRS16 to moderately-to-significantly impact their business, with particular concern about rising leverage ratios.
- Most expected to respond by renegotiating existing leases or restructuring new ones. Changing lease term, lease rate, early-termination options, currency denomination, and purchase options, or shifting toward variable lease payments (which, per IFRS16's own rules from Session 17, are excluded from the lease liability calculation unless they depend on an index or rate).

4. Cathay Pacific's 2019 Transition, in Numbers

Balance sheet effects (Table 1, HKD million, actual IFRS16 vs. estimated under continued IAS17): property, plant and equipment (new ROU assets) increased by approximately 19,937. Long-term liabilities increased correspondingly, split between a current portion of lease liability of 4,073 (repayable within 12 months) and a non-current portion of 15,894 (repayable after 12 months). Together approximately 19,967, closely matching the ROU asset increase (the small gap reflects other adjustments not itemised in the extracted table).

Income statement effects: operating lease rentals of 4,507 disappeared (no such rentals were recognised in 2019, since they moved into depreciation and interest instead), while depreciation of property, plant and equipment increased by 3,849 and finance charges increased by 744. Net effect on profit: the increase in depreciation and finance charges (3,849 + 744 = 4,593) exceeded the rental savings (4,507) by 86, so IFRS16 adoption made Cathay Pacific's 2019 profit HKD86 million *worse* than it would have been under IAS17. Directly illustrating Session 17's point that lease capitalisation typically front-loads total expense relative to straight-line rent.

Cash flow statement effects: cash generated from operations (operating activities) increased by 4,445. Interest paid (also classified within operating activities, per Cathay Pacific's accounting policy choice from Session 17's presentation options) decreased operating cash by 744. Loan and lease repayments (financing activities) increased outflows by 3,701. Total net cash flow was unchanged. Only the classification across the statement moved, exactly as Session 17's general framework predicts.

Ratio and metric effects (Exhibit 1, actual IFRS16 vs. hypothetical IAS17, FY2019): gearing rose from 0.96 to 1.31, a 36.5% increase. EBITDA rose from HKD14.7bn to HKD19.3bn, a 31.1% increase (consistent with rent expense, previously above the EBITDA line, being replaced by depreciation and interest, both below it). EPS fell slightly, from HKD43.7¢ to HKD43.0¢, a 1.6% decrease (consistent with the HKD86m net profit deterioration above).

5. Residual Value Risk: The CFO's Objection

Residual value risk: the possibility that an asset's actual residual value, realised at the end of the current lease term, falls below the residual value originally estimated at lease inception.

- Cathay Pacific's CFO, Martin Murray, is quoted objecting that "the new standard does not reflect the commercial reality of how companies manage residual value risk."
- Under IAS17, for a true operating lease, residual value risk was borne by the lessor. The lessee simply paid rent and walked away at the end of the term, with no exposure to what the asset would be worth.
- Under IFRS16, because former operating leases are now capitalised as ROU assets, the lessee's balance sheet carries an asset that is subject to impairment testing (IAS36, Session 12): if residual values prove volatile or decline, the ROU asset may need to be written down, adding an impairment expense on top of ordinary depreciation.
- For Cathay Pacific, the case quantifies this as an incremental HKD20bn of ROU assets newly exposed to residual value fluctuation risk that, under the old standard, sat entirely with the lessor.

6. Commercial Responses to the New Standard

- The case frames IFRS16's effect as economically re-labelling leasing as "purchasing an asset with debt financing," and asks what lessee companies can do in response.
- The material points toward several possible commercial responses (consistent with the real-effects literature already covered in Session 16):

- renegotiating existing leases and restructuring new ones (shorter terms, different early-termination clauses, different currency denomination or purchase options),
- shifting toward variable, non-index-linked lease payments to keep them out of the lease liability calculation, and
- more fundamentally, reassessing whether leasing remains the right way to access assets at all, now that its balance-sheet treatment converges toward outright debt-financed purchase.

7. Assignment Questions Framework

Must know (how to structure a case answer, from the session outline's assignment questions):
• **Effects on the financial statements as of 31 December 2019 (Table 1):** PP&E/ROU assets +19,937. Lease liabilities +19,967 (current 4,073 + non-current 15,894). Operating lease rentals eliminated (+4,507 "saved"). Depreciation −3,849. Finance charges −744. Net profit effect −86. Operating cash flow +4,445 (net of interest paid), financing cash flow −3,701
• **Changes in financial metrics (Exhibit 1):** gearing +36.5% (0.96 → 1.31). EBITDA +31.1% (14.7bn → 19.3bn). EPS −1.6% (43.7¢ → 43.0¢)
• **Why HKFRS16 cannot reflect commercial reality of residual value risk (Martin Murray's criticism):** capitalisation transfers exposure to volatile asset values from lessor to lessee's balance sheet (via impairment risk on the ROU asset), even though the underlying commercial arrangement (who actually bears that risk contractually) has not changed
• **Possible lessee courses of action:** renegotiate/restructure lease terms, shift toward variable (non-index) payments, reconsider lease vs. buy decisions given leasing's diminished balance-sheet advantage

8. Common Mistakes and Exam Traps

- Concluding that IFRS16 adoption necessarily hurts reported profit. The HKD86m 2019 effect at Cathay Pacific was specific to that year's mix of new vs. maturing leases. The front-loading effect (Session 17) means the direction can reverse over a lease's later years as interest expense declines.
- Assuming EBITDA improves under IFRS16 by coincidence. It improves mechanically, because operating lease rent (previously above the EBITDA line) is replaced by depreciation and interest (both below it). This is a presentation effect, not a change in underlying economics.
- Treating the HKD20bn "residual exposure" figure as a loss. It is the size of the newly-exposed asset base, not an impairment charge. Whether any of it is actually written down depends on whether IAS36 impairment indicators subsequently arise.
- Forgetting that lessor accounting is untouched by IFRS16 (Session 17). The case's residual-value-risk discussion is specifically about how the risk lessors always bore is now also reflected on the lessee's balance sheet via impairment exposure, not about any change to how lessors themselves account for residual value.
- Citing the PwC industry study's "median increase in debt/EBITDA" figures as specific to Cathay Pacific. They are industry-wide medians from a separate global study, used in the case only to establish that airlines were a heavily-affected sector before turning to Cathay Pacific's own company-specific numbers.

9. Must Know Absolutely

Must know:
• IAS17's risks-and-rewards dual model was criticised for poor comparability and manipulation-prone bright-line classification. IFRS16's single on-balance-sheet model was designed to fix both
• Airlines were the 2nd most IFRS16-impacted industry studied by PwC (47% median debt increase, 33% EBITDA increase) because of heavy reliance on off-balance-sheet operating leases for aircraft
• Cathay Pacific 2019: +HKD19,937m ROU assets/PP&E, +HKD19,967m lease liabilities, gearing +36.5%, EBITDA +31.1%, EPS −1.6%, net profit worse by HKD86m (depreciation+finance charges > eliminated rent)
• Residual value risk shifts economically from lessor-only (under IAS17 operating leases) to partly lessee-exposed (under IFRS16, via ROU asset impairment risk), even without any change in the underlying lease contract
• Likely lessee responses: lease renegotiation/restructuring, shift to variable/non-index payments, re-evaluating lease vs. buy